



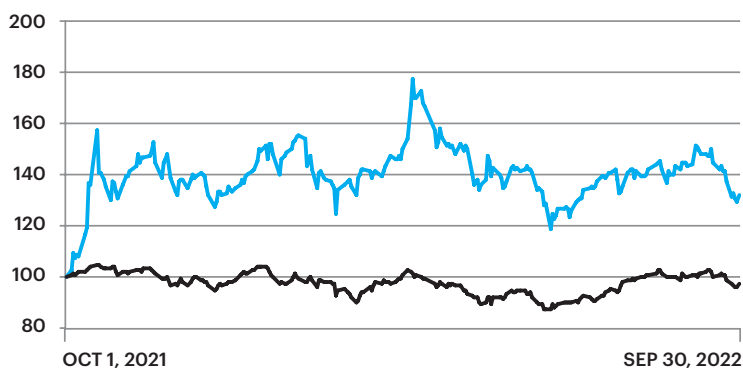
TRANSFORMATIVE POWER

- ▶ Good performance by all distribution companies (discoms) of Tata Power; discoms in Odisha alone posted cumulative profit of ₹620 crore in Q2FY23
- ▶ Distribution and renewable energy businesses to be cornerstones of future growth
- ▶ Renewables capacity to grow to 5,660 MW by FY24-end, with installed capacity of 3,870 MW; commissioning of 1,790 MW expected by FY24-end
- ▶ Manufacturing unit for solar modules and PV cells to begin operating in CY23
- ▶ A slower-than-expected ramp-up of RE portfolio and expansion in distribution business among key risks to growth forecasts
- ▶ Slower growth in profitability of solar Engineering, Procurement & Construction may also undermine expectations

SOURCE INDUSTRY, BT RESEARCH

HIGH VOLTAGE

Tata Power's stock has stayed above the benchmark BSE Sensex throughout the past year



■ TATA POWER COMPANY ■ BSE SENSEX; BASE=100
SOURCE ACE EQUITY

require the company to raise additional equity. "That is one area that investors have to be mindful of. But given Tata Power's strength and the lineage it carries, raising resources should not be a challenge," he adds.

In the coming years, power distribution, non-regulated businesses and renewables will be the company's growth drivers. "Firstly, there are only a handful of companies in India that have the capability to make a significant improvement in consumer services. Tata Power is one of them. Secondly, it is looking at entering the bouquet of non-regulated businesses, including EV charging stations, home automation, solar pumps and solar EPC," says Dole.

Tata Power's Sinha explains the gradual shift towards unregulated businesses. "Earlier, where we had 90 per cent regulated and 10 per cent unregulated business, we will be moving to a mix where 60 per cent will be regulated and 40 per cent will be unregulated business, as that will give us the opportunity to drive the market based on the quality of service and improvements that we offer to command a premium on the services we offer," he informs.

As for its third growth driver, the RE businesses, Tata Power has aggressive plans to increase the capacity to almost 15,000 MW from the current 3,000 MW, in a few years.

Under Sinha, the company has also pursued a bottom-up strategy to convince employees to adopt new technologies and solutions to ensure they don't get bogged down by disruptions happening in the sector. Sinha says that the company will continue to rely on its culture of innovation and adaptability to power ahead in the decades to come. **BT**

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